The Second Schedule

[(See section 3(14)]

In the Customs Act, 1969 (IV of 1969), FOR THE Fifth Schedule, the following shall be substituted, namely:-

"THE FIFTH SCHEDULE

[see section 18(1A)]

Part-I

Import of Plant, Machinery, Equipment and Apparatus, including Capital Goods for various industries/sectors

Note: - For the purposes of this Part, the following conditions shall apply, besides the conditions as specified in column (5) of the Table below: -

(i) the imported goods as are not listed in the locally manufactured items, notified through a Customs General Order issued by the Federal Board of Revenue (FBR) from time to time or, as the case may be, certified as such by the Engineering Development Board:

Provided that the condition of "local manufacturing" shall not be applicable on import of machinery, equipment and other capital goods imported as plant for setting up of a new power unit of 25 MW and above duly certified by Ministry of Water and Power in respect of those power projects which are on IPP mode meant for supply of electricity to national grid;

Provided further that condition of local manufacturing shall not be applicable for a period of three years, commencing on 1st July, 2018 and ending on 30th June, 2021, against Sr.No.12 of Table under Part-I of Fifth Schedule to the Customs Act, 1969, on import of machinery, equipment and other capital goods imported for new private transmission lines projects under the valid contract (s) or letter (s) of credit and the total C&F value of such imports for the project is US $ 50 million or above duly certified by the Ministry of Energy (Power Division);

Provided further that condition of local manufacturing shall not be applicable against Sr. No.38 of the Table, on import of plant, machinery and equipment if imported by registered pharmaceutical manufacturers for their own use subject to NOC from Ministry of Health.

Provided further that condition of local manufacturing shall not be applicable against Sr. No.15A and 29 of the Table.

(ii) except for S. Nos. 1(H), 14, 20,21 and 22 of the Table, the Chief Executive, or the person next in hierarchy duly authorized by the Chief Executive or Head of the importing company shall certify in the prescribed manner and format as per Annex-A that the imported items are the company's *bona fide* requirement. He shall furnish all relevant information online to Pakistan Customs Computerized System against a specific user ID and password obtained under section 155D of the Customs Act, 1969 IV of 1969). In already computerized Collectorates or Customs stations where the Pakistan Customs Computerized System is not operational, the Director Reforms and Automation or any other person authorized by the Collector in this behalf shall enter the requisite information in the Pakistan Customs Computerized System on daily basis, whereas entry of the data obtained from the customs stations which have not yet been computerized shall be made on weekly basis;

(iii) in case of partial shipments of machinery and equipment for setting up a plant, the importer shall, at the time of arrival of first partial shipment, furnish complete details of the machinery, equipment and components required for the complete plant, duly supported by the contract, lay out plan and drawings;

(iv) For "Respective Headings" entries in column (3) of the Table against which more than one rate of customs duty has been mentioned in column (4), the rate of 0%, 3% or 11% shall be applicable only for such goods which are chargeable to 0%, 3% or 11% duty respectively under the First Schedule to the Customs Act, 1969. In all such type of entries, a maximum concessionary rate (i.e. 5%, 10% or 15%) has also been mentioned in column (4) of each entry which shall be applicable on the goods which are subject to any of the all remaining higher duty slab rates under the First Schedule to the Customs Act, 1969.

Explanation I.– In entries where customs duty rates 0%, 3% and 5% have been mentioned in column (4), the rate 0% or 3% shall be applicable only for such goods which are chargeable to 0% or 3% duty respectively under First Schedule to the Customs Act, 1969. Whereas for all higher slabs (11%, 16%, 20% and above) concessionary rate of 5% shall be applicable.

Explanation II. – In entries where customs duty rates 3%, 5% have been mentioned in column (4), the rate 3% shall be applicable only for such goods which are chargeable to 3% duty under First Schedule to the Customs Act, 1969. Whereas for all higher slabs (11%, 16%, 20% and above) concessionary rate of 5% shall be applicable.

Explanation III. – In entries where customs duty rates 0%, 3%, 10% have been mentioned in column (4), the rate 0% or 3% shall be applicable only for such goods which are chargeable to 0% or 3% duty respectively under First Schedule to the Customs Act, 1969. Whereas for all higher slabs (11%, 16%, 20% and above) concessionary rate of 10% shall be applicable.

Explanation IV. – In entries where customs duty rates 0%, 3%, 11%, 15% have been mentioned in column (4), the rate 0%, 3% or 11% shall be applicable only for such goods which are chargeable to 0%, 3% or 11% duty respectively under First Schedule to the Customs Act, 1969. Whereas for all higher slabs (16%, 20% and above) concessionary rate of 15% shall be applicable.; and

(v) Goods imported temporarily for projects under serial numbers 9, 10, 11 and 12, if not re-exported on the conclusion of the project, may be allowed retention or transfer after conclusion of the project, from one company or project to another entitled company or project, with prior approval of the Board, against payment of 0.25% surcharge on C&F value of the goods for each year of retention, besides payment of duties and taxes, chargeable, if any.

Explanation. - Capital Goods mean any plant, machinery, equipment, spares and accessories, classified in Chapters 84, 85 or any other chapter of the Pakistan Customs Tariff, required for-

(a) the manufacture or production of any goods, and includes refractory bricks and materials required for setting up a furnace, catalysts, machine tools, packaging machinery and equipment, refrigeration equipment, power generating sets and equipment, instruments for testing, research and development, quality control, pollution control and the like; and

(b) use in mining, agriculture, fisheries, animal husbandry, floriculture, horticulture, livestock, cool chain, dairy, poultry industry, IT sector, storage, communication and infrastructure development of SEZs by Zone Developer.

TABLE

S. No.	Description	PCT Code	Customs Duty (%)	Conditions
(1)	(2)	(3)	(4)	(5)
1	**Agricultural Machinery**			
	A) Tillage and seed bed preparation equipment.			Nil
	(1). Tractor mounted trencher	8701.9220 8701.9320	0%	
	(2). Laser land leveler comprising laser transmitter, laser receiver, control box, rigid mast pack, with or without scrapper	Respective headings	0%	
	B) Omitted.			
	C) Irrigation, Drainage and Agro-Chemical Application Equipment			Nil
	(1). Submersible pumps (up to 75 lbs and head 150 meters) and field drainage pumps.	8413.7011 8413.7019	0%	
	(2). Air release valves, pressure gauges, water meters, back flow preventers and automatic controllers.	8481.1000 8481.3000	0%	
	(3). Tube well filters or strainers.	8421.2100	0%	
	(D) Harvesting, Threshing and Storage Equipment.			Nil
	(1). Fodder rake.	8201.3000	0%	
	(2). Fodder/forage wagon.	8716.8090	0%	
	E) Fertilizer and Plant Protection Equipment.			Nil
	(1). Spray pumps (diaphragm type).	8413.8100	0%	
	(2). All types of mist blowers.	8414.5990	0%	
	F) Dairy, Livestock and poultry, machinery			Nil
	(1). Milk chillers.	8418.6910 8418.6990	2%	
	(2). Tubular heat exchanger (for pasteurization).	8419.5000	2%	
	(3). Milk processing plant, milk spray drying plant, Milk UHT plant.	8419.8100	2%	
	(4). Grain storage silos for poultry.	Respective headings	2%	

	(5). Insulated sand witch panels	Respective headings	2%	
	(6). Dairy, livestock and poultry sheds.	9406.1020 9406.9020	2%	
	(7). Milk filters.	8421.2900	2%	
	(8). Omitted			
	(9). Any other machinery and equipment for manufacturing of dairy products	Ch. 84 & 85	3%	If imported by manufacturers which are members of Pakistan Dairy Association.
	(10) Fans for use in dairy sheds	8414.5990	3%	If imported by members of Corporate Dairy Farmers Association.
	(G) Post-harvest Handling and Processing and Miscellaneous Machinery.			
	(1). Pre-fabricated CO_2 Controlled Stores.	9406.1090 9406.9090	0%	In respect of goods mentioned in Column (2) read with PCT mentioned in Column (3), the Ministry of National Food Security and Research shall certify in the prescribed manner and format as per Annex-B to the effect that the imported goods are *bona fide* requirement for use in the Agriculture sector. The Authorized Officer of the Ministry shall furnish all relevant information online to Pakistan Customs Computerized System against a specific user ID and password obtained under section 155D of the Customs Act, 1969.
	H) Green House Farming and Other Green House Equipment.			1. In respect of goods of mentioned in Column (2) read with PCTs mentioned in Column (3), the Ministry of National Food Security and Research shall certify in the prescribed manner and format as per Annex-B to the effect that the imported goods are *bona fide* requirement for use in the Agriculture sector. The Authorized Officer of the Ministry shall furnish all relevant information online to Pakistan Customs Computerized System against a specific user ID and password obtained under section 155D of the Customs Act, 1969. 2. The goods shall not be sold or otherwise disposed of within a period of five years of its import except with the prior approval of the FBR.
	(1). Geo-synthetic liners (PP/PE Geo synthetic films of more than 500 microns).	3921.9090	0%	
	(2). Greenhouses (prefabricated).	9406.1010 9406.9010	0%	
	(3). Tunnel farming equipment consisting of the following:- (a) Plastic covering and mulch film	3920.1000 3926.9099	0%	
	(I) Machinery, Equipment and Other Capital Goods for Miscellaneous Agro-Based Industries like Milk Processing, Fruit, Vegetable or Flowers Grading, Picking or Processing etc.			In respect of goods of mentioned in Column (2) read with PCTs mentioned in Column (3), the Ministry of National Food Security and Research shall certify in the prescribed manner and format as per Annex-B to the effect that the imported goods are bona fide requirement for use in the Agriculture sector. The Authorized Officer of the Ministry shall furnish all relevant information online to Pakistan Customs Computerized System against a specific user ID and password obtained under section 155D of the Customs Act, 1969.
	(1). Evaporators for juice concentrate.	8419.8990	0%	
	(2). Machinery used for dehydration and freezing.	8418.6990	0%	
	(3). Heat exchange unit.	8419.5000	0%	
	(4). Machinery used for filtering and refining of pulps/juices.	8421.2200	0%	
	(5). Complete Rice Par Boiling Plant.	8419.8990 & Respective Headings	0%	
	(J) Horticulture and Floriculture			
	(1). Machines for making cartons, boxes, cases, tubes, drums or similar containers, other than by moulding	8441.3000	0%	
	(2). PU panels (Insulation).	Respective headings	0%	
	(3). Generator sets 10 to 25 KVA.	8502.1120 8502.1130	0%	
	(4). Refrigerating machines with engine fitted on common base for refrigerated containers.	8418.6920	0%	

108	Ethambutol HCl	2941.9090	0
109	Etoricoxib	2933.9990	0
110	Euflavine Bp (Acriflavine)	2933.9990	0
111	EZETIMIBE	2934.9990	0
112	Famotidine	2934.1090	0
113	Favipiravir	2933.9990	0
114	Febuxostat	2934.1090	0
115	Fenpiverinium Bromide	2933.9990	0
116	Ferric Carboxy Maltos Complex	3824.9999	0
117	Ferric Hydroxide Polymaltose Complex Inj.Grade	2821.1020	0
118	Ferric Pyrophosphate Nf	2835.3900	0
119	FERROUS FUMARATE	2917.1900	0
120	Ferrous Sulphate	2833.2910	0
121	Fexofenadine	2933.3990	0
122	Filgrastim	2934.9990	0
123	Florfenicol	2941.4000	0
124	Flucloxacillin sodium	2941.1000	0
125	Fluconazole	2933.9990	0
126	Flumequine Base	2933.9990	0
127	Flunixin Megulamine	2933.3990	0
128	Fluoxetine Hcl	2922.1990	0
129	Flurbiprofen	2916.3990	0
130	Fosfomycin Calcium	2941.9090	0
131	Fosfomycin Calcium	2941.9090	0
132	Fosfomycin Trometamol	2941.9090	0
133	Fractionated Coconut Oil	2915.9000	0
134	Furaltadone HCl	2934.9990	0
135	Furosemide (Imp)	2935.9090	0
136	Fusidic Acid	2941.9090	0
137	Gabapentin	2922.4990	0
138	Gemifloxacin Mesylate	2933.9990	0
139	Gentamicine Sulphate	2941.9090	0
140	Gentamyein	2941.9090	0
141	Glibenclamide	2935.9090	0
142	Gliclazide	2935.9090	0
143	Glimepiride	2935.9090	0
144	Glipizide	2935.9090	0
145	Haloperidol	2934.1090	0
146	Hydrochlorothiazide	2935.9090	0
147	Hydrocortisone Usp Micro	2937.2100	0
148	Hydroxychloroquine Sulphate	2933.4990	0
149	Ibandronate Sodium Monohydrate	2922.4990	0

	(vi) Sodium bicarbonate pharma grade	2836.3000		
	(vii) Potassium Chloride pharma grade	3104.2000		
114	Omitted.			
115	(i)AKD wax	3809.9200	0%	If imported by manufacturers of Paper sizing agents, registered under the Sales Tax Act, 1990, subject to annual quota determination by the Input Output Co-efficient Organization (IOCO).
	(ii)Finishing agent	3809.9200	0%	
	(iii)Cationic	3402.4190	0%	
116	(i) Omitted		0%	If imported by manufacturers of Home Appliances, registered under the Sales Tax Act, 1990, subject to annual quota determination by the Input Output Co-efficient Organization (IOCO); and certification from Inland Revenue Department that all dealers of the manufacturing unit are registered with Sales Tax department.
	(ii) Omitted			
	(iii) Omitted			
	(iv) Articles of glass	7020.0090		
	(v) Omitted			
	(vi) Omitted			
	(vii) Omitted			
	(viii) Omitted			
	(ix) Omitted			
	(x) Omitted			
	(xi) Omitted			
	(xii) AC motors, single phase	8501.4090		
	(xiii) Transformers	8504.3100		
	(xiv) Omitted			
	(xv) Omitted			
	(xvi) Glass board for manufacturing TV panels (LCD, LED, OLED, HDI etc.)	8529.9090	10%	
	(xvii) Omitted			
117	Base oil	2710.1993	0%	If imported by manufacturers of coning oil, white oil and other textile oils, registered under the Sales Tax Act, 1990, subject to annual quota determination by the Input Output Co-efficient Organization (IOCO).
118.	CNG vehicle conversion kits.	8409.9191 8409.9991	5%	Brands of kits approved by OGRA, if imported by authorized dealers.
119	Organic composite solvents and thinners, not elsewhere specified or included; prepared paint or varnish removers.	3814.0000	4%	If imported by manufacturers of Butyl Acetate and Dibutyl Orthophthalates registered under the Sales Tax Act 1990, subject to annual quota determination by Input Output Co-efficient Organization (IOCO).
120	Plasticised (Poly Vinyl Chloride)	3904.2200	0%	If imported by manufacturers of disposable syringes and saline infusion sets, registered under the Sales Tax Act 1990, subject to annual quota determination by Input Output Co-efficient Organization (IOCO).
121	Other saturated Polyesters	3907.9900	5%	If imported by manufacturers of interlining/ buckram, registered under the Sales Tax Act 1990, subject to annual quota determination by Input Output Co-efficient Organization (IOCO).;
122	(i) Skimmed milk powder	0402.1000	0%	(i) If imported by manufacturers registered under the Sales Tax Act 1990, of Ready to Use Supplementary Foods (RUSF) duly authorized by United Nations World Food Program (UNWFP) and subject to annual quota determination by Input Output Co-efficient Organization (IOCO).", (ii) If imported by manufacturers registered under the Sales Tax Act 1990, of Ready-To-Use Therapeutic Food (RUTF), duly authorized by United Nations International Children Emergency fund (UNICEF) and subject to annual quota determination by Input Output Co-efficient Organization (IOCO).",
	(ii) Whey powder	0404.1010		
	(iii) Omitted			
	(iv) Omitted			
	(v) Omitted			
	(vi) Groundnuts shelled weather or not broken	1202.4200		
	(vii) Other	1507.9000		
	(viii) Palm Olein	1511.9030		
	(ix) Other	1514.9900		